

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

THURSDAY, JANUARY 30, 2025 ~ VOL. CCLXXXV NO. 24

WSJ.com

★★★★ \$5.00

DJIA 44713.52 ▼ 136.83 0.31% NASDAQ 19632.32 ▼ 0.5% STOXX 600 534.26 ▲ 0.5% 10-YR. TREAS. ▼ 2/32, yield 4.554% OIL \$72.62 ▼ \$1.15 GOLD \$2,769.10 ▲ \$2.30 EURO \$1.0423 YEN 155.24

What's News

Business & Finance

- ◆ **The Fed refrained** from another interest-rate cut, entering a monitoring phase as it tries to determine whether and how much more to lower rates from a recent two-decade high. **A1**
- ◆ **U.S. stocks slipped** after the central bank paused rate reductions, with the S&P 500 and Nasdaq both losing 0.5% and the Dow retreating 0.3%. **B9**
- ◆ **Meta Platforms** agreed to pay about \$25 million to settle a 2021 lawsuit that Trump brought against the company and its CEO after the social-media platform suspended his accounts. **A1**
- ◆ **Meta posted record** revenue for the fourth quarter, aided by artificial-intelligence improvements to its advertising business. **B1**
- ◆ **SoftBank is in talks** to invest \$15 billion to \$25 billion in OpenAI, which would be the biggest-ever investment in the ChatGPT maker. **B1**
- ◆ **Tesla delivered** mixed results for the fourth quarter, with operating margin and automotive revenue down, and growth mostly coming from its energy and services businesses. **B1**
- ◆ **Growth in Microsoft's** cloud-computing business slowed last quarter as constraints on data-center supply once again weighed on results. **B1**
- ◆ **Frontier argued** that Spirit creditors would be better off if the airlines merged than if Spirit tried to go it alone after exiting chapter 11, again attempting to clinch a tie-up. **B3**
- ◆ **KKR has taken** a big stake in medical- and dental-supply company Henry Schein and plans to work with the company to improve its operations. **B10**

World-Wide

- ◆ **The Trump administration** rescinded its memo calling for federal agencies to pause potentially trillions of dollars in federal grants, loans and other financial-assistance programs, a day after a judge temporarily blocked the directive. **A1**
- ◆ **An American Airlines** regional jet carrying 64 people and a military helicopter collided in midair near the Washington, D.C.-area Reagan Airport, sending both aircraft into the Potomac River. **A3**
- ◆ **Robert F. Kennedy Jr.**, said he supports vaccines and vowed to lessen the burden of chronic diseases during fiery questioning from senators who will decide whether to confirm him as health secretary. **A1, A5**
- ◆ **Defense Secretary** Hegseth suspended the security detail for former Joint Chiefs chairman Gen. Mark Milley, the latest former official to have protection stripped under Trump's administration. **A4**
- ◆ **Trump said he plans** to order the Pentagon and Department of Homeland Security to construct a facility to hold as many as 30,000 migrants at Guantanamo Bay. **A7**
- ◆ **Former Sen. Bob Menendez** was sentenced to 11 years in prison for promising to swap the power of his office for bribes, capping the New Jersey lawmaker's downfall. **A3**
- ◆ **The unexpected success** of artificial-intelligence startup DeepSeek has revealed cracks in U.S. efforts to contain China's technology ambitions, and OpenAI is investigating the way the product was trained. **A6, B5**

CONTENTS	Markets Digest..... B7
Arts in Review..... A13	Opinion..... A15-17
Business News..... B3	Personal Journal A11-12
Crossword..... A14	Sports..... A14
Equities..... B8	Technology..... B4-5
Heard on Street..... B10	U.S. News..... A2-7
Markets..... B9	World News..... A8-10



© 2025 Dow Jones & Company, Inc. All Rights Reserved

Fed Holds Steady on Rates

Powell says bank doesn't 'need to be in a hurry' as it enters wait-and-see period

By NICK TIMIRAOS

The Federal Reserve hit the pause button on recent interest rate cuts, entering a new wait-and-see phase and drawing a rebuke from President Trump as it tries to determine whether and how much more to lower rates from a recent two-decade high.

The decision on Wednesday to leave the benchmark federal-funds rate at its current range around 4.3% followed three consecutive interest-rate cuts beginning in September, when the rate stood around 5.3%.

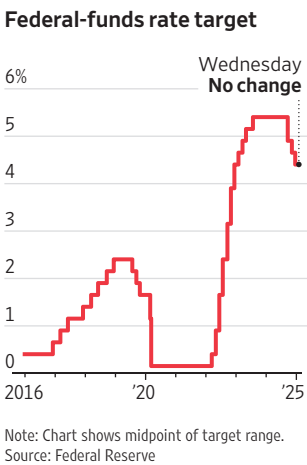
With interest rates now "significantly less restrictive" than they were before last year's cuts, "we do not need to be in a hurry to adjust our policy stance," said Fed Chair Jerome Powell at a news conference after the meeting.

Those comments suggested the central bank was likely to

stay on hold at its next meeting in mid-March. Powell said the Fed would need to see "real progress on inflation" or unexpected weakness in the labor market before considering further rate reductions.

After Powell spoke, Trump slammed the Fed and its leader for allowing inflation to accelerate four years ago and promised to put a lid on price increases.

"I will do it by unleashing American Energy, slashing Regulation, rebalancing International Trade, and reigniting



Around World, the Year of the Snake Slithers In



BOO, HISSSSSS: An unhappy performer stands out in a serpentine Lunar New Year parade in Hong Kong on Wednesday. The Year of the Snake was marked around the world with firecrackers, incense offerings at temples, and dancers and drummers.

RFK Jr. Says He Backs Vaccines, Will Defer to President's Orders

By LIZ ESSLEY WHYTE AND KRISTINA PETERSON

Robert F. Kennedy Jr. said he supports vaccines and vowed to lessen the burden of chronic diseases during fiery questioning from senators who will decide whether to confirm him as President Trump's health secretary.

Members of the Senate's finance committee questioned Kennedy on the first of two days of testimony before a vote to install him as secretary of the Department of Health and Human Services. He can only afford to lose backing from three Republicans in the Senate unless some Democrats back him.

Kennedy said that he is most passionate about alleviating chronic diseases and



Health secretary nominee Robert F. Kennedy Jr. at his hearing.

that he would otherwise defer to Trump's orders.

Kennedy deflected some questions about abortion pills, Medicare drug-price negotiations and Medicaid cuts. And he rebutted claims that he opposes vaccines or would profit

from working against them, despite his past activism raising doubts about the shots.

"The only thing I want is

◆ **RFK Jr.'s measles claims** conflict with science..... **A5**

Gabbard Tried To Mask Sect Ties

Her religious group had connections to an alleged pyramid scheme

To defend and burnish Tulsi Gabbard's image as her political star was rising, her congressional campaign hired a public-affairs firm in

By Brett Forrest, Caitlin Ostroff and Rebecca Feng

2017 that tried to suppress coverage of an alleged pyramid scheme connected to her Hindu sect, according to interviews, emails and Federal Election Commission records.

Gabbard, a former House member who is now President Trump's nominee for

director of national intelligence, was raised in the Science of Identity Foundation, a sect tied to a direct-marketing firm accused of running a pyramid scheme in several countries. Neither Gabbard, the sect nor the firm, QI Group, wanted the relationships scrutinized.

Gabbard's campaign paid Washington, D.C.-based Potomac Square Group for the PR cleanup, trying to mask the connections. But the operation was directed by a Science of Identity follower—and longtime Gabbard adviser—who sits on

Please turn to page A10

Meta to Pay \$25 Million To Settle Trump's Suit

By ANNIE LINSKEY AND REBECCA BALLHAUS

Meta Platforms has agreed to pay about \$25 million to settle a 2021 lawsuit that President Trump brought against the company and its CEO after the social-media platform suspended his accounts following the attacks on the U.S. Capitol that year, according to people familiar with the agreement.

Of that, \$22 million will go toward a fund for Trump's presidential library, with the rest going to legal fees and the other plaintiffs who signed onto the case. Meta won't admit wrongdoing, the people said. Trump signed the settlement agreement Wednesday in the Oval Office.

A Meta spokesman confirmed the settlement.

"It looks like a bribe and a signal to every company that corruption is the name of the game," Sen. Elizabeth Warren

(D., Mass.) said. "After Meta pays to play, what does Mark Zuckerberg expect as a return on this investment?"

Serious talks about the suit, which had seen little activity since the fall of 2023, began after Meta Chief Executive Mark Zuckerberg flew to Trump's Mar-a-Lago club in Florida to dine with him in November, the people familiar with the discussions said.

The dinner was one of several efforts by Zuckerberg and Meta to soften the relationship with Trump and the incoming administration. Meta also donated \$1 million to Trump's inaugural fund. Last year, Trump, a Republican, warned that Zuckerberg could go to prison if he tried to rig the election against him.

Toward the end of the November dinner, Trump raised

◆ **Meta's sales soar, lifted by** spending..... **B1**

For Them,
Canada Was
No Joke
* * *
Driven by politics,
Americans head
for colder climes

By TE-PING CHEN AND VIPAL MONGA

Disgusted by Donald Trump's first presidential victory in 2016, Arkansas native Heather Fitz moved to pursue a new life in Canada.

Less than a week after arriving in Halifax, Nova Scotia, with her then-husband, she was questioning her choice.

Fitz had expected Canada to be cold, but nothing had prepared her for the freezing, 68 mile-an-hour winds that rocked their seven-story apartment building one night during a nor'easter.

"I was like, did we make the right decision?" said Fitz.

Please turn to page A12

ORACLE

Oracle Database runs in every leading cloud

- ✓ OCI
- ✓ AWS
- ✓ Azure
- ✓ Google Cloud



Bring AI to your data with Oracle oracle.com/data

